



COMPETING IN THE AGE OF AI

Strategy and Leadership When Algorithms and Networks Run the World

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The Big “So What”

Artificial intelligence (AI) is transforming businesses and industries worldwide, creating new options that were simply impossible in the past. This book explains how individuals and companies alike can leverage AI-driven models to compete, grow, and thrive in the new digital economy.



Introduction



We are in the midst of an **AI revolution**. From healthcare to entertainment and retail, AI is reshaping how we live and work. In *retail*, AI-powered systems like Amazon vastly outperform traditional methods in predicting demand, automating restocking, and optimizing logistics. In *financial services*, AI is revolutionizing credit assessment and fraud detection, while in *healthcare*, it's driving earlier and more accurate diagnoses. Even in the *arts*, AI was able to recreate Rembrandt's painting style using algorithms and 3D printing.



This book explains how individuals and businesses can **harness AI's potential** to thrive in today's evolving digital landscape. In this summary, we've distilled and organized the insights into 2 parts:

- Transformation in the Age of AI; and
- Addressing Ethical and Leadership Challenges

KEY QUOTES

"AI presents new opportunities—for startups, established firms, entrepreneurs and intrapreneurs, for new economic, social, and political institutions, and yes, even for artists."

"AI is the 'runtime' that is going to shape all of what we do."
—Satya Nadella, Microsoft

"Our goal with this book is to provide leaders of organizations old and new, startups, and regulatory institutions a set of frameworks for understanding, competing, and operating in the age of AI."



Transformation in the Age of AI



Understanding the AI Revolution



During the **Industrial Revolution**, machines and new production methods drastically improved productivity, increased economic growth, and created new industries. However, they also disrupted labor markets, with many skilled artisans losing jobs to machines.



Today's **AI revolution** is similarly changing the dynamics of businesses, industries, and the global economy. It is reshaping the rules of competition and creating exponential improvements in efficiency and innovation. However, the impact of this revolution will be even faster and wider, due to AI's ability to learn, adapt, and scale rapidly.



Rethinking Business Models and Competitive Dynamics

AI-powered digital firms compete on a different playing field from traditional firms. To fully exploit AI's potential, firms must rethink their business and operating models.



A firm's success hinges on its **business and operating models**.

- The **business model** defines how it creates and captures value, delivering products and services that customers will pay for.
- The **operating model** includes the processes, systems, and capabilities to deliver that value efficiently with scale, scope, and learning.



KEY QUOTES

"AI is not only displacing human activity, it is changing the very concept of the firm."

*"Strategy, without a consistent operating model, is where the rubber meets the air."
—Somewhat famous Italian proverb*

"Whereas the business model creates a goal for value creation and capture, the operating model is the plan to get it done."



Traditional and digital models are drastically different.

- Most *traditional firms* rely on human decision-making and a hierarchical structure. Different departments operate in silos, and data are gathered, stored and processed inconsistently across departments, often on different IT systems.
 - (i) This leads to *inefficiencies and wasted opportunities*, because it's hard to share information or see the big picture.
 - (ii) Human-centered processes and decision-making also mean *manpower and resource constraints*, making it hard to scale up or adapt quickly to market changes.
- In contrast, *digital AI-driven firms* are built around data, software, and algorithms. This frees them from traditional constraints, allowing them to scale and adapt rapidly. Specifically, they can:
 - (i) Automate operations and handle unlimited tasks without a proportionate increase in human labor (*scale*);
 - (ii) Easily integrate with other digital systems and platforms to offer more services (*scope*); and
 - (iii) Analyze huge amounts of data to continuously improve decision-making and operations (*learn*).



Ant Financial is a prime example of how digital firms can achieve unprecedented scale, scope, and real-time learning.

- **Scale:** At the time this book was published, Ant Financial served over 700 million users with fewer than 10,000 employees. It could process over 120,000 transactions per second, due to its AI-driven digital infrastructure which automates processes like fraud detection, credit scoring, and loan approval. By comparison, the Bank of America served only 67 million customers with some 209,000 employees.
- **Scope:** Beyond basic financial transactions, Ant Financial also offers a comprehensive range of services, including payments (Alipay), investments (Yu'e Bao), credit scoring (Zhima Credit), and loans (MYbank). This ecosystem is powered by a centralized digital platform that integrates real-time data for decision-making, allowing Ant to monetize through scale and low transaction costs.

KEY QUOTES

"Devising and executing that operating model is where the real work would lie."

"The new breed of digital firms is all about innovation in the business model, experimenting and recombining various aspects of value creation and value capture."

"Ant Financial is built with scale in mind. There is no way that a human-centric approval process can be deployed here."

—Ming Zeng, Alibaba

"Human beings can do everything that AI can do. They just can't do it to scale."

—Anne Marie Neatham,
Ocado Technol

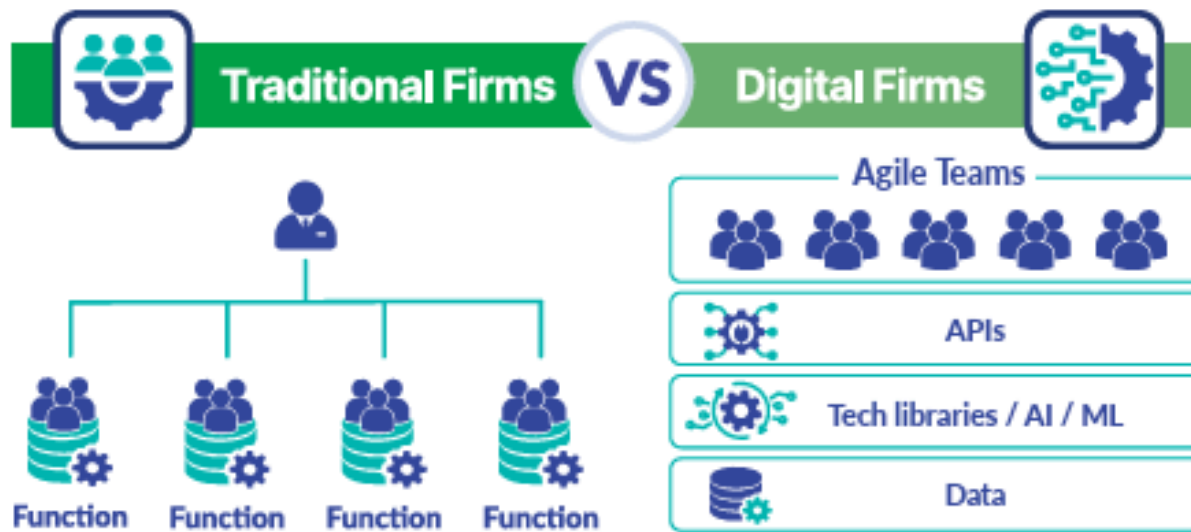
- Their algorithms learn and adapt real-time using customer data, so the larger they are the better they become at fraud detection, credit risk assessment, and personalized service offerings.



Rearchitecting the Firm



Business and operating models must be supported by the right business architecture. To thrive in a digital age, traditional firms must undergo a **structural transformation**—to shift from rigid, hierarchical architectures to flexible, data-centric ones.



AI-powered firms rely on **modular architectures** that seamlessly integrate data and software for agility and efficiency.

- The organization is built on data as a foundation. It continually collects, cleans, and stores in a unified way to ensure it's always accessible and consistent.
- Technological libraries house the AI and machine learning (ML) tools to analyze data, generate insights, and adapt/learn easily from new information without starting from scratch.
- APIs (Application Programming Interfaces) are the bridges that connect different pieces of software/data to avoid silos.
- Agile teams then use the digital tools to make data-driven decisions, quickly test ideas, adapt to changes, and implement solutions in real-time.



This setup makes AI-powered firms highly **flexible and scalable**. Instead of manual decision-making, they use real-time data and AI algorithms to repeatedly improve their operations, enabling them to grow quickly and adjust to changes.

KEY QUOTES

"A digital firm requires a different kind of operating model—one that is architected to take an integrated core of software, data, and AI and use it to power a new breed of organization."

"A firm's operating architecture has become a strategic consideration that should be thought through at the most senior levels."

"The organization reflects the system, and the system reflects the organization. This simple observation carries important implications for the evolution of firms."

"In a digital operating model, the employees do not deliver the product or service; instead, they design and oversee a software-automated, algorithm-driven digital 'organization' that actually delivers the goods."

- In contrast, traditional firms face structural, resource, and technological constraints. Their outdated structure creates “*architectural inertia*,” making even small changes hard to implement because they often require a total shift in how people think and operate. It’s not just about technical challenges, but people’s attitudes and entrenched processes.

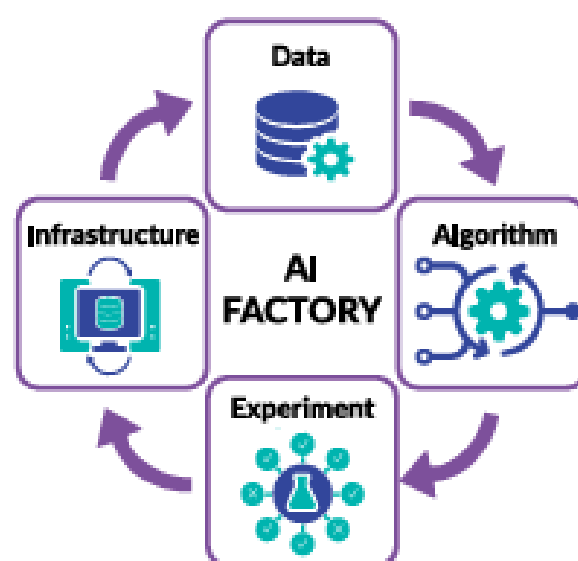


The New AI Factory



The most advanced AI-powered firms operate like an “AI Factory” with minimal human inputs. Instead, they use **4 key components in a self-reinforcing cycle**.

- Data is gathered and refined;
- Algorithms use the data to make predictions;
- The predictions are tested to improve their accuracy; and
- The software infrastructure supports and scales these operations.



The stronger the algorithm, the better the results, and the more likely the company can acquire/retain users, which leads to even more data to strengthen the algorithm in *virtuous cycle*.



Data pipelines handle the flow of information in AI operations. They continuously gather data from multiple sources, clean it for accuracy and consistency, integrate it into a unified system, and safeguard data privacy and security.



AI relies on algorithms for decision-making. **Learning algorithms** create and refine computational models to interpret data, generate insights/predictions, and make decisions.

- A strong algorithm requires large, quality datasets and a robust infrastructure for rapid iteration/updates. There are different types of learning algorithms:
 - Supervised learning*: Uses labeled data to predict outcomes, e.g. forecasting user behavior based on historical data.
 - Unsupervised learning*: Analyzes unlabeled data to

KEY QUOTES

“Frankly, the technology is the easy part. As many others have noted, organizational change is really hard.”

“In its essence, the AI factory creates a virtuous cycle between user engagement, data collection, algorithm design, prediction, and improvement.”

“Data is the essential input of the AI factory.”

“The algorithms generate predictions about future states or actions of the business. These algorithms and predictions are the beating heart of the digital firm, driving its most critical operating activities.”

uncover hidden patterns, e.g. grouping customers based on buying behavior.

- (iii) *Reinforcement learning*: Learns through trial and error using feedback, e.g. optimizing marketing tactics based on user responses.



The experimentation platform tests hypotheses and validates new algorithms in a controlled environment before implementation.

- It provides a continuous learning loop to assess the impact of AI-driven decisions, and to rapidly iterate/refine the algorithms to enhance the overall efficiency and effectiveness of the AI Factory.



The software infrastructure supports the rest of the AI Factory. It provides scalable, reliable processing for large volumes of data, supports rapid adjustments to technological and market shifts, and ensures robust security and compliance.



Competitive Dynamics and Disruption

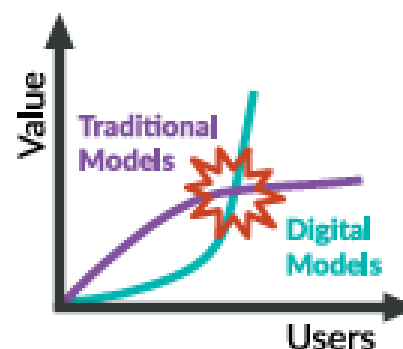


Strategic collisions occur when AI-powered firms directly challenge traditional companies, fundamentally shifting market dynamics.



Traditional and digital firms exhibit different growth patterns.

- Traditional firms often grow steadily until they hit natural limitations in resources or scalability.
- Digital firms grow slowly initially, then accelerate rapidly once they reach a critical mass of users and data. They continue to scale exponentially with data-driven strategies, making it hard for incumbents to compete.



Let's look at the case study of Airbnb:

- Slow start: When Airbnb was launched in 2008, it faced skepticism from the hotel industry, which was dominated by established hotel chains. Its initial growth was slow due to inconsistency in quality and a small user base.

KEY QUOTES

"If the data is the fuel that powers the AI factory, then infrastructure makes up the pipes that deliver the fuel, and the algorithms are the machines that do the work. The experimentation platform... controls the valves that connect new fuel, pipes, and machines to existing operational systems."

"Beyond shaping the fate of leading firms, the impact of these collisions is being felt across our entire economy and into our social and political system."

"The collision between digital and traditional travel companies shows what happens when traditional user needs are met in new ways by a different kind of operating model that digitizes some of the most critical tasks in the delivery of value."

- Rapid scaling: From 2011 to 2015, Airbnb rapidly expanded to over 190 countries, leveraging AI to optimize search, pricing, and recommendations, enhancing both host engagement and customer experience.
- Market leadership: By 2019, Airbnb surpassed the largest hotel chains with over 7 million listings worldwide. Its AI-driven platform kept improving, drawing in more users and data, and creating a network effect that traditional hotels struggled to compete with.



Shifting from Industries to Strategic Networks



AI-powered firms aren't just disrupting industries. They are transforming the global economy into a massive digital ecosystem that transcends traditional industry boundaries.

- This global network consists of many interconnected subnetworks powered by AI. They connect digital nodes across industries, enable seamless data interaction through advanced algorithms, and facilitate continuous learning and evolution.
- In this network-based economy, competitive advantage depends on a firm's ability to shape, control, and extract value from its digital ecosystems. Companies that leverage data and AI to dominate their networks (e.g., Google, Facebook, Tencent) have become central, global players.



Accordingly, companies must shift from industry analysis to strategic network analysis.

- Industry analysis assumes that industries are distinct and separate. It focuses on how firms compete in specific industries, and how to optimize internal resources and efficiencies within their own sectors.
- Network analysis focuses on how a firm connects with broader economic networks to shape data flow, learning, and competitive advantages.



Use strategic network analysis to understand your ecosystem, leverage opportunities and minimize risks, to improve value creation and capture.

KEY QUOTES

"Our entire economy is starting to resemble a vast, highly connected network coalescing around a small number of digital superpowers."

"Competitive advantage is increasingly defined by the ability to shape and control these networks and harvest the volume and variety of the transactions they carry."

"Just as industry analysis dominated strategy over the past few decades, we believe that network analysis will increasingly shape strategic thinking in the future."

"While creating real value for users, these companies also capture a large and expanding share of the value generated, and they're shaping our collective future."

KEY QUOTES

- Map out the business networks: Start by mapping out the most critical networks connected to your business, such as links to customers, suppliers, or partners. Identify where value is created, and how data flows across the business landscape. For example, Uber's business involves its networks of riders, drivers, and food providers. Each network presents many opportunities to create and capture value.
- Improve value creation by exploring how to create more value as your networks grow and evolve. This could come from:
 - (i) *Network effects*, where the value or utility of a product/service grows as more users engage with it. For example, the more users on a social network, the more valuable it is.
 - (ii) *Learning effects*, where value is created as more data flows through the network, allowing businesses to learn and improve the service for users.
 - (iii) *Clustering*, which is about focusing your efforts on specific areas/groups of people. For example, Uber might expand its ride-sharing services one area at a time, to better address the needs of users in each location.
- Improve value capture by exploring how your company can secure and retain the value created within the network. Some factors to consider include:
 - (i) Reducing *multihoming*, which occurs when users or providers engage with multiple platforms (e.g. using both Uber and Lyft) thus diluting a firm's market share.
 - (ii) Reducing *disintermediation*, which happens when users and providers bypass the platform once they've established a direct connection. Firms can counter this by lowering fees or adding unique services to retain their users.
 - (iii) Increasing *network bridging*, i.e. connecting various networks to enhance value. For example, Alibaba linked its e-commerce platform to financial services, allowing it to use transaction data to offer credit.

"These self-reinforcing loops in network and learning effects make a big difference in the nature of competition."

"Strategic analysis should examine the nature and potential of all applications to discover what uses may be made of complementary networks, considering the full variety of possible network interactions."



Building an AI-Driven Organization

After analyzing more than 350 enterprises across multiple sectors, the authors identified several principles and stages of AI transformation.



To make the transition from traditional to digital models, there are **5 principles for AI transformation**:

- Strategic clarity: Leaders must define clear goals, align resources behind those goals, and continually reinforce the vision.
- Architectural clarity: Have a clear vision of the future operating architecture, then integrate data, analytics, and AI into a unified framework to create a single source of truth.
- Agile mindset: Adopt agile methodologies, embedding AI into product design and decision-making at all levels.
- Governance: Go beyond technical security to develop ethical, responsible AI policies, engage stakeholders, and address societal impacts.
- Capability development: Invest in talent and build AI capabilities with robust data science.



There are usually **4 stages in becoming an AI-powered company**:

- Siloed data: Organizations begin with data dispersed across different departments. They might rely on basic tools like Excel spreadsheets, and outsource data analysis to external vendors or consultants.
- Pilot projects: Firms use small-scale initiatives to show the potential of data-driven decision-making, but without major structural changes.
- Data hub: Firms centralize their data to create a unified platform. This requires significant technological investments, as well as a cultural shift towards data-driven thinking.
- AI Factory: Firms develop a standardized AI operating model including centralized data, powerful algorithms, and modular software components. They focus on building AI skills

KEY QUOTES

"To operationalize a new strategy, especially one involving transformation, it's imperative that there be no doubt as to the seriousness of the effort, its sustaining power, and the clarity of the end goal."

"Even the most advanced AI factory in the world will not deliver the promised value if it is not embedded in an operating model that leverages its strengths."

"At the heart of it, building an AI-centric operating model is all about taking many traditional processes and embedding them in software and algorithms."

across the entire organization and continuously evolve their AI-driven systems to improve decisions and operations.



The last transition from Data Hub to AI Factory is the most challenging as it involves a complete overhaul of how data is used and requires capabilities to be built across the organization. However, companies that achieve these also saw the most **substantial benefits**, ranging from enhanced customer experience to risk mitigation, operational efficiency, and market insight.



Case studies: Netflix and Microsoft



Netflix is a great example of how firms can use data and machine learning to drive user engagement and operational efficiency.

- Netflix's AI Factory began with a recommendation engine that personalized user experiences, significantly boosting user engagement and viewer retention.
- As its subscriber base grew to millions, it leveraged its expanding dataset to generate deeper insights into user preferences and behaviors, such as:
 - (i) *Optimizing thumbnail images* to create the most appealing visuals for each user to increase click-through rates;
 - (ii) Predicting the *types of content* that would resonate with various audience segments, then producing or acquiring the ideal types of shows and movies; and
 - (iii) Predicting drivers of *customer loyalty*, identify at-risk users and design personalized retention strategies.
- Today, Netflix has grown to over 150 million subscribers across 190 countries, delivering more than 5,500 shows on its platform.



Microsoft's transformation was even more comprehensive. To transit from a traditional to digital model, it had to address many cultural, operational, and technological challenges.

- When Satya Nadella took over as CEO of Microsoft in 2014, it was at risk of becoming obsolete. Nadella set a clear and bold mission to "empower every person and every

KEY QUOTES

"Ultimately, the AI-centric firm, with its vast variety of AI-driven processes, is the actual "product" of a modern, transformed, core services organization."

"The first essential principle in transformation is to develop strategic clarity and commitment."

organization on the planet to achieve more," signaling a move away from a Windows-centric strategy to a broader focus on cloud computing, AI, and cross-platform solutions.

- Microsoft invested heavily in AI and cloud capabilities, focusing on their cloud platform Azure, and integrating AI capabilities into Microsoft's software products like Office 365.
- They positioned Azure as a modular digital operating system that could be integrated with various technologies. They made Azure's architecture open and scalable, with the use of APIs, AI models, and data layers.
- They also formed strategic partnerships with other industry leaders, and acquired platforms like LinkedIn and GitHub to expand Microsoft's influence in AI and cloud. They developed a partner ecosystem that integrated Azure with other digital and AI-driven platforms to accelerate AI adoption across industries.
- These were supported by cultural and organizational changes, with a focus on continuous learning and collaboration. They broke down internal silos, encouraged data sharing and cross-functional innovation, and promoted a growth mindset with experimentation and embracing failures as part of the learning process.
- Under Nadella's leadership, Microsoft became a leader in the cloud computing space. Azure was positioned as one of the top cloud platforms globally, able to compete directly with Amazon Web Services (AWS).



Addressing Ethical and Leadership Challenges



To thrive in the new digital era, leaders must understand the new rules of the game, and address a range of strategic and operational challenges.



Understanding the New Rules in the Era of AI

As we've seen, the dynamics of businesses, competition, and the economy have changed. To compete effectively, organizational leaders must understand these new rules or meta in the age of AI.

KEY QUOTES

"Building this foundation will take time, but much can be done with a small number of motivated, knowledgeable people."

*"Balance conviction with patience."
—Satya Nadella*

"A new meta is like changing the moves allowed on a chessboard or the rules of bridge halfway through a game. The age of artificial intelligence is changing the game for all of us."

 **Change is widespread, not isolated.** Changes driven by AI and digital networks affect entire systems, not just specific areas or industries. Such changes are instant and global, impacting multiple sectors, markets, and societies all at once.

 **Value creation is shifting** away from physical assets and specialized resources to digital platforms and networks. Data has become the biggest competitive differentiator in this era, and firms that can gather, analyze, and act on data insights gain a significant edge over their competitors.

 **Conventional industry boundaries no longer hold.** AI allows companies to easily expand their scope and enter/disrupt markets beyond their traditional areas of focus. Companies no longer need to specialize or compete just within their industry; they can quickly become significant players in entirely different sectors.

 In a digital-first environment, processes are automated and optimized to run with **little/no friction**. AI-powered firms can adapt seamlessly to new inputs without traditional bottlenecks, moving and growing ever faster. However, they may also be more unstable, like a car without brakes that can't stop accelerating.

 The **distribution of wealth and power will become even more imbalanced**. Not only do hub firms (e.g. Google, Facebook, WeChat) influence larger numbers of people and industries, they can easily link to one another to gain even more advantages over individual firms or standalone organizations. In fact, they're reshaping entire economies and the flow of power and value.



Ethics in the Age of AI

The rise of AI-driven companies presents 5 sets of ethical challenges.

 **Digital amplification:** Digital platforms can amplify both positive and negative effects at an unprecedented scale. A small bias or error can grow exponentially as it spreads through digital networks to impact many users.

- For instance, during elections, false information about candidates can spread quickly, influencing public opinion and potentially altering the elections outcome.

KEY QUOTES

"Our new engine of change appears to be tackling all industries, globally, at just about the same time."

"We are moving from an era of core competencies, differing from firm to firm and embedded deep in each organization, to an age shaped by data and analytics, powered by algorithms and hosted in the computing cloud for anyone to use."

"Removing friction is not always a good thing. Frictionless systems are prone to instability and have difficulty finding equilibrium... Once in motion, frictionless systems are hard to stop."

"Leaders are finding their business and operating models at risk if they do not understand the dynamics of scope expansion."

"In new as well as old firms, leaders should be aware of how their newly deployed digital capabilities can be used and misused in ways they never intended—or possibly even imagined."



Algorithmic biases can be embedded in AI systems due to flawed data or prejudiced algorithm designs.

- This includes selection biases (where the data used for AI training isn't representative of the population it will serve) and labeling biases (where the labels applied to training data are influenced by human prejudices).



Cybersecurity: As digital ecosystems grow, so do their vulnerabilities to cyber attacks.

- Threats include data breaches (unauthorized access to a company's data like customers' details or financial records), system hijacking (attackers taking control of a company's systems/data for their own gains/purposes) and ineffective responses to cybersecurity threats..



Platform control: Digital platforms have immense power over what content is distributed, shared, or suppressed, affecting societal narratives and even democracy.

- For instance, companies like Google or Facebook can use their control over vast amounts of user data to limit competition by prioritizing their own products or services in search results and recommendations.



Fairness and equity: AI and digital technologies might disproportionately benefit some groups while excluding or leaving others behind. This includes people with less access to technology or those who are marginalized due to biased algorithmic decisions.



Leaders of digital organizations have the responsibility to ensure their technologies are used ethically and inclusively. These include:

- Promoting transparency and accountability to ensure AI-driven decision-making processes are transparent and understandable to users and stakeholders.
- Ensuring fairness and inclusivity in AI systems/design. Create multidisciplinary teams to audit AI algorithms for bias, promote diversity in data sources, and actively seek to remove prejudices in decision-making processes.
- Building trust through ethical data use: Prioritize data privacy and user consent and respect user preferences in data usage.

KEY QUOTES

"Navigating the ethics of digital scale, scope, and learning has become a universal management imperative."

"The same hub firms that benefit from the ecosystems they control have important reasons to sustain the economic health of not only their shareholders but also the broader communities they are organizing and serving."

"While the problem is real, it is also important not to fall in love with simplistic solutions...we should work to fix and improve digital operating models, and not destroy them."

"The greatest responsibility lies in the organizations that wield the most power and occupy the central network positions in our economy and society."

- Strengthening cybersecurity and risk management by investing in advanced cybersecurity technologies, training employees on data security best practices, and collaborating with industry experts to stay ahead of evolving threats.
- Ethical decision-making and governance: Establish ethical frameworks that guide AI and data-related decisions at all levels, such as ethical review boards to oversee AI projects, organization's strategic goals.



Navigating Leadership Challenges



Despite the massive potential of AI, most leaders and managers today are still using frameworks suited to a pre-AI world. Many of them lack the knowledge and flexibility for AI-driven business models, leading to a **gap between business potential and managerial approaches**.



Leaders of AI-powered firms must focus on **4 key pillars**, each requiring distinct skills and strategies:

- Leaders must guide their organizations through continuous transformation in face of rapid changes. This goes beyond digital upgrades to include a rethinking of business models, operations, and strategies. Leaders must create agile teams, flexible structures, overcome resistance to change, build technical expertise, and transform the organizational culture.
- An entrepreneurial mindset is essential for all types of companies today, not just startups. Leaders must foster a culture of innovation and agility, where people embrace ambiguity, experimentation, risk-taking, and data-driven decision-making.
- Leaders must also understand and influence the evolving regulatory landscape around AI and data. This includes navigating complex AI-related laws and policies, and balancing the need for innovation and compliance.
- Leaders are also responsible for building a strong, trusting relationship with customers, stakeholders, and the broader community. They must ensure that AI technologies not only address business goals, but also benefit society as a whole.

KEY QUOTES

"Most platform companies [seek] to shape and control its ecosystem and make sure that its tools and technologies do not cause harm. But how to properly exercise such control is not at all obvious."

"In contrast with the current wealth of data, analytics, and AI, we still appear to be suffering from a shortage of managerial wisdom."

"Managers will have their work cut out for them, as they reflect on their evolving role in our increasingly digital economy."

"Transformation...starts at the top, with motivating and grooming a generation of leaders to do the hard work involved."

"Transformation does not apply only to traditional firms...every hub company must transform to survive and must do so repeatedly."



In this era, no single leader or individual can navigate the complexities of AI and digital transformation alone. Instead, we need **collective intelligence**—to leverage insights from teams, communities, and AI itself. This in turn requires: a learning and collaborative culture, diversity and inclusion, transparent decision-making, and balancing AI's analytical capabilities with human creativity and intuition.



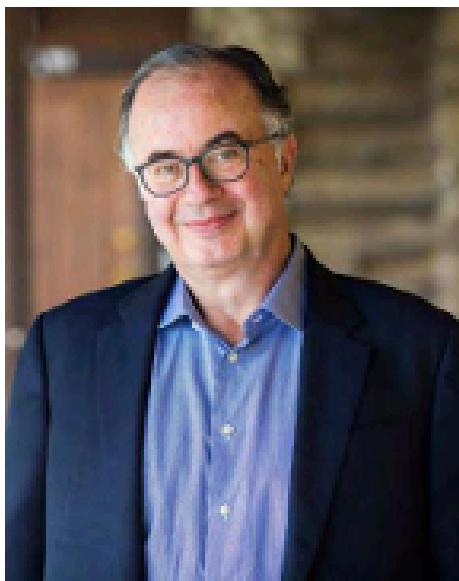
Other Details in the Book to Look out For



AI is here and it's already transforming every aspect of the business landscape. To thrive, we must learn to ride the wave of innovation. This book includes detailed case studies ranging from fitness to grocery delivery and finance, with critical insights and frameworks on how to adapt and thrive in the age of AI. For more details, please visit www.ageof.ai.

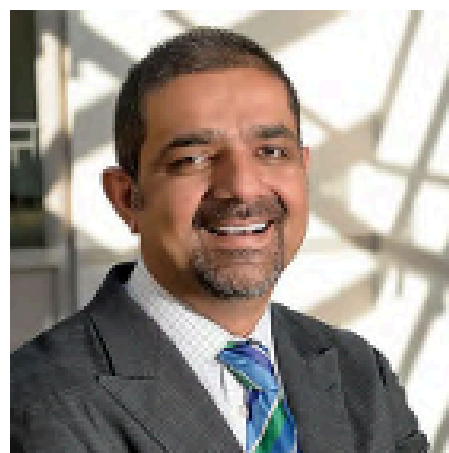


About the Authors



Marco Iansiti is a professor at Harvard Business School, specializing in the impact of artificial intelligence and digital transformation on business strategy and operations. He has numerous books and articles on innovation, technology, and strategy, and his research has shaped how leaders think about data-driven decision-making and the role of digital platforms in creating competitive advantage.

Karim R. Lakhani is a professor at Harvard Business School, where he leads research on AI, digital innovation, and crowdsourcing. He is well-known for his expertise in technology-driven entrepreneurship and the development of AI-based strategies for companies across industries.



KEY QUOTES

"We must find wiser ways to lead the increasingly digital firm...we must find better ways to manage the new assets and capabilities that are being created and deployed, every day, across every organization."

"There is no longer a rationale for staying behind, doubling down on old strengths and capabilities, and ignoring the emergence of a new operating model that is overwhelming every major sector of the economy... No organization should be standing still."